Private Government and the Public Constitution of Authority

Anderson on Liberalism and the Firm

Introduction

Elizabeth Anderson's *Private Government* makes two claims, one about the history of an idea and one about the institutions that idea now defends. The historical claim is that the ideology justifying employers' authority over workers began as an egalitarian program, and took on its present function only after the Industrial Revolution removed the conditions under which its promises made sense. The structural claim is that the firm is a government, one that exercises arbitrary and unaccountable authority over the people who work in it, and that the constitution under which it governs is supplied not by the employment contract but by the State. This essay takes them in that order. The first part reconstructs Anderson's genealogy of market egalitarianism and reads it alongside John Dewey's account of how liberalism came to set the individual against organized society. The second examines the defense of workplace authority that Anderson attacks, namely that it is legitimate because workers consent to it and remain free to leave, and argues that both halves of that defense fail for the same reason: the relation they describe as private is constituted in public law.

I. Towards Hierarchy and Centralization: The Egalitarian Origins of Market Liberalism

Anderson's history begins with a reversal that is easy to state and hard to see from the present. The early advocates of free markets were radicals. The Levellers in the English Revolution, Adam Smith, Thomas Paine, and later Abraham Lincoln and the free-labor Republicans all championed markets against what they took to be the great engines of unfreedom in their societies: the monopolies, guild privileges, and state-granted charters of mercantilist economies, and the dependence of servants, tenants, and apprentices on their masters. Their egalitarianism rested on a material premise that is now easy to forget. In a largely pre-industrial economy, most people could reasonably expect to work on their own account, as farmers, artisans, or small merchants, and so the freedom to buy and sell was for them a freedom from masters. Wage labor, where it existed, was understood as a stage in a life rather than its condition. Lincoln gave the view its classic statement in 1859: "The prudent, penniless beginner in the world, labors for wages awhile, saves a surplus with which to buy tools or land, for himself; then labors on his own account another while, and at length hires another new beginner to help him."[1]

The Industrial Revolution destroyed the premise without destroying the ideology. Economies of scale in manufacturing, and later in distribution, made the large, hierarchically organized firm the dominant employer and turned wage labor from a stage of life into a permanent class position. The market no longer delivered independence; it delivered most people into the authority of an employer. Yet the rhetoric of market freedom persisted, and was taken up, Anderson argues, by those whose interests it now served. In her words, "a political agenda that once promised equalizing as well as liberating outcomes turned into one that reinforced private, arbitrary, unaccountable government over the vast majority."[2] What survives in contemporary American public discourse is a libertarian common sense that still speaks the language of the Levellers and Smith while defending institutions those writers would have recognized as forms of servitude. Anderson's target, then, is narrower than liberalism as such. It is this

[1] Abraham Lincoln, "Address before the Wisconsin State Agricultural Society, Milwaukee, Wisconsin, September 30, 1859," in *The Collected Works of Abraham Lincoln*, ed. Roy P. Basler, vol. 3 (New Brunswick, NJ: Rutgers University Press, 1953), 478–79.

[2] Elizabeth Anderson, *Private Government: How Employers Rule Our Lives (and Why We Don't Talk about It)*, ed. Stephen Macedo (Princeton, NJ: Princeton University Press, 2017), 58.

libertarian strand: the conviction that the only threat to individual freedom is the State, and that whatever is arranged by contract in the market is, by that fact, free.

Dewey's account of liberalism's development in *Liberalism and Social Action* helps explain how that conviction formed. For the early liberalism of Locke, government is instituted to protect rights that individuals possess prior to it, above all the right of property, and its legitimacy depends on its doing so. The individual is conceived as complete in advance of social organization, and freedom as the protection of that pre-formed individual against interference. Dewey's charge is that this picture hardened into a principle, "the natural opposition between the individual and organized society," which the later, laissez-faire liberalism of Bentham and the classical economists inherited and redirected.[3] Where Locke had opposed the individual to arbitrary government, laissez-faire liberalism opposed the market to government as such, and the private to the public. The distinction between individual and State became a distinction between two spheres, and freedom came to mean the absence of state interference in the private one, whatever happened within it.

Two further changes accompanied this redirection. The first concerns the individual. Early liberalism, whatever its abstraction, still conceived the individual as a member of communities bound by ties not reducible to exchange. Market society required something else. As Karl Polanyi argued, it required treating labor as a commodity, even though "labor is only another name for a human activity which goes with life itself, which in its turn is not produced for sale but for entirely different reasons, nor can that activity be detached from the rest of life, be stored or mobilized."[4] Labor became a factor of production, and the person who performed it a seller of it, motivated, in the theory's simplest form, by material self-interest alone. The second change concerns the relation between individuals. If the social world is composed of property-owners exchanging with one another, then relations between persons are contracts: transactions entered by consent and left at will, legitimate because free of coercion and fraud. The maxim that consent removes the wrong, *volenti non fit iniuria*, is in law only a defense in tort, but in liberal ideology it came to function as something closer to a general principle, the implicit warrant for any relation that could be described

[3] John Dewey, *Liberalism and Social Action* (New York: G. P. Putnam's Sons, 1935), ??

[4] Karl Polanyi, *The Great Transformation: The Political and Economic Origins of Our Time*, 2nd ed., with an introduction by Fred Block, with a foreword by Joseph E. Stiglitz (1944; Boston: Beacon Press, 2001), 75.

as voluntary. And the State acquired a new role: no longer merely the protector of natural rights, but the guarantor of property and contract, supplying the legal infrastructure through which consenting parties associate.

This threefold redescription (of the individual as labor, of social relations as contract, and of the State as guarantor of both) is what allowed the hierarchical firm to appear as an instance of freedom rather than an exception to it. The large bureaucratic enterprise that industrialization produced organizes relations between persons as a hierarchy of authority, with decisions centralized at the top and commands transmitted downward. Its existence depended on developments in corporate and labor law and on the economics of scale, but its legitimacy depended on the redescription. Because liberal theory located the threat to freedom exclusively in the State, and because the employment relation was entered by contract and could be exited at will, the authority exercised within the firm was classified as private, a matter of individual choice, and so placed outside the questions liberalism asks about government. The workplace became the principal domain of adult life in which subjection to another's commands could be described as an exercise of liberty.

II. The Legacies of an Ideology: The Legitimation of Centralized Control over the Means of Production

Anderson's second argument begins from a definition. A government exists wherever some have the authority to issue orders to others, backed by sanctions, in some domain of life; it is private, relative to those it governs, when they have no say in how it is exercised and it is not accountable to them.[5] By that definition most firms are governments, and private ones. The employer can direct what workers do, when, and how, and can sanction them, ultimately by dismissal, for failing to comply. Under employment-at-will, the default rule in every American state except Montana, that authority extends well beyond the tasks of production: employers may regulate workers' dress and speech, restrict their use of the bathroom, and, in most states, dismiss them for their political views or for what they post online in their own time. This is what Anderson calls "arbitrary, unaccountable authority,"[6] and she insists it is not an abuse of the system but its ordinary form.

[5] Anderson, *Private Government*, ??

[6] Anderson, 126.

What makes this authority possible is not the contract but the State. A democratic state's authority rests, at least in principle, on a constitution the governed can amend through their participation. The firm has no such constitution of its own. Its constitution is supplied externally, by background law:

> Every competitive equilibrium is established against a background assignment of property rights and other rights established by the State. The State supplies the indispensable legal infrastructure of developed economies as a kind of public good and is needed to do so to facilitate cooperation on the vast scales that characterize today's rich and sophisticated economies. Thus, it is the State that establishes the default constitution of workplace governance. It is a form of authoritarian, private government, in which, under employment-at-will, workers cede all their rights to their employers, except those specifically reserved for them by law.[7]

The State that liberal doctrine treats as the only threat to freedom is thus the author of the private government that doctrine refuses to see. David Ciepley sharpens the point. The corporation, he argues, is neither public nor private in the liberal sense but a third kind of entity, one that exercises governing powers (legal personality, perpetual succession, limited liability, rule-making authority over its members and property) by grant from the State, which makes it closer to a franchise government than to a private association.[8] Dewey had already made the underlying point in 1926: "for the purposes of law the conception of 'person' is a legal conception; put roughly, 'person' signifies what law makes it signify."[9] The firm's personality and its authority are alike artifacts of law.

The claim is older than liberalism, and its sharpest early statement comes from the theorist of absolute sovereignty. Hobbes was acutely alert to the danger of authority exercised by subordinate bodies. He counted "the great number of Corporations" among the infirmities of a commonwealth, "many lesser Common-wealths in the bowels of a greater, like wormes in the entrayles of a naturall man."[10] His remedy was that every such body's authority be chartered and limited by the sovereign: "In Bodies Politique, the power of the Representative is alwaies Limited: And that which prescribeth the limits thereof, is the

[7] Anderson, *Private Government*, 60.

[8] David Ciepley, "Beyond Public and Private: Toward a Political Theory of the Corporation," *American Political Science Review* 107, no. 1 (2013): 139–158.

[9] John Dewey, "The Historic Background of Corporate Legal Personality," *Yale Law Journal* 35, no. 6 (1926): 655.

[10] Thomas Hobbes, *Leviathan*, ed. Noel Malcolm (1651; Oxford: Clarendon Press, 2012), chap. 29.

Power Soveraign. For Power Unlimited, is absolute Soveraignty."[11] No one may represent any part of the subjects "but so far forth, as he shall give leave."[12] The irony is instructive. The absolutist insists that the authority of subordinate bodies be expressly bounded by the sovereign that grants it, while employment-at-will leaves the employer's authority bounded only by whatever the law happens to prohibit. By Hobbes's standard, an authority unlimited within its domain is a rival sovereignty, and the liberal default is less careful about private government than Hobbes was.

Liberal theories of the firm do not all deny that the employment relation involves authority. They differ over its extent and its source, and three positions matter. Ronald Coase, whom Anderson takes as her foil, concedes the authority but locates its limits in the contract: the employment contract is one in which the worker "agrees to obey the directions of an entrepreneur," but "the essence of the contract is that it should only state the limits to the powers of the entrepreneur."[13] Armen Alchian and Harold Demsetz deny the authority outright. The firm, they write, "has no power of fiat, no authority, no disciplinary action any different in the slightest degree from ordinary market contracting between any two people"; an employer's power over a worker is the same as a customer's power over a grocer, the power to stop buying.[14] Between them stands Herbert Simon's formal account of the employment relation, in which the worker agrees in advance to accept the employer's direction within an area of acceptance, and the contract fixes the boundaries of that area rather than the content of each order.[15]

Anderson's reply to Coase is empirical: "Most workers are hired without any negotiation over the content of the employer's authority, and without a written or oral contract specifying any limits to it."[16] The reply gains force when the three positions are set side by side. Against Alchian and Demsetz, the authority is real: a grocer cannot be told when to use the bathroom or dismissed for a Facebook post, and a worker can. Against Coase, its limits are not set by nego-

[11] Hobbes, *Leviathan*, chap. 22.
[12] Hobbes, chap. 22.
[13] R. H. Coase, "The Nature of the Firm," *Economica* 4, no. 16 (1937): 386–405; quoted in Anderson, *Private Government*, 52–53.
[14] Armen A. Alchian and Harold Demsetz, "Production, Information Costs, and Economic Organization," *American Economic Review* 62, no. 5 (1972): 777.
[15] Herbert A. Simon, "A Formal Theory of the Employment Relationship," *Econometrica* 19, no. 3 (1951): 293–305.
[16] Anderson, *Private Government*, 53.

tiation but by default law, which the worker did not draft and cannot amend. And Simon's model, read without its benign assumptions, describes the situation exactly. Under employment-at-will the area of acceptance is not a zone the parties agree on; it is everything the law does not forbid. What the worker consents to is not a bounded set of directions but the authority to issue directions, in a domain whose boundaries someone else determines.

III. Consent, Exit, and the Limits of Contract

The liberal defense of workplace authority therefore rests on two claims: that workers consent to it, and that they are free to leave. The first converts subjection into choice; the second makes the choice revocable. Together they allow authority within the firm to be treated as a case of *volenti non fit iniuria*: whoever consents cannot claim to have been wronged. Both claims fail.

Exit first. That a worker can quit does not make the authority exercised over her while she stays accountable to her, any more than the possibility of emigration makes a dictatorship accountable to those who remain. Anderson puts the point by analogy: Mussolini was no less a dictator because Italians could emigrate.[17] Nor is exit costless. For most workers, leaving a job means losing income, often health insurance, and the accumulated goods of a particular workplace, and it means entering another firm governed on the same terms. Polanyi's remark that market society disciplines labor through the "fear of hunger"[18] is not rhetorical excess but a description of why exit is a weak check: the alternative to one employer's authority is, typically, another's.

Consent is the deeper problem, and here liberalism supplies its own limit. Arguing against the enforcement of contracts of self-enslavement, Mill held that a person who sells himself "abdicates his liberty; he foregoes any future use of it beyond that single act," and concluded: "The principle of freedom cannot require that he should be free not to be free. It is not freedom, to be allowed to alienate his freedom."[19] Mill's principle does not forbid every agreement that restricts liberty; it forbids agreements that alienate the capacity for future choice. Employment-at-will does not go that far, since the worker can leave. But it comes closer than liberal theory usually admits. What the worker gives up is not

[17] Anderson, *Private Government*, 55.

[18] Karl Polanyi, "Our Obsolete Market Mentality: Civilization Must Find a New Thought Pattern," *Commentary* 3 (1947): 109–117.

[19] John Stuart Mill, *On Liberty* (London: John W. Parker / Son, 1859), chap. 5.

a specified set of actions but an open-ended domain of her own conduct, whose extent is determined by someone else and can be revised without her agreement. The liberal who takes consent to legitimate this arrangement invokes the principle of freedom to justify what the principle, on its own best statement, was meant to limit.

The most common response to Anderson is that the problem is overstated. Tyler Cowen, in his comment on the lectures that became the book, argues that labor markets are competitive enough to give workers real options to leave, that employers compete for workers on the quality of the job as well as on pay, and that much of the oversight Anderson objects to, including the regulation of off-duty conduct, serves to protect co-workers and customers rather than to express arbitrary power.[20] Anderson's reply goes to the structure of the argument. The appeal to competition, whether over wages or over the amenities of the job, is the exit argument again: it tells workers they can choose their governor, not that they can govern. A protective purpose does not make authority accountable either. An employer who regulates what workers post online in order to protect customers still decides, alone, what counts as protection, and the workers still have no say in the decision. Nor would legal protection settle the matter. Protections of that kind are exceptions carved out of the employer's authority, not constraints on its source; they specify what the employer may not do and leave everything else to its discretion. The problem would persist even if every worker were protected against every specific abuse, because it lies in the absence of any workplace constitution that its subjects have a part in shaping. Workers sell their labor, and with it a portion of their autonomy, under terms they neither negotiated nor can change.

Conclusion

Anderson's diagnosis leads naturally to constitutional remedies, and she proposes several: stronger exit rights, the rule of law within the workplace, substantive rights protecting workers' lives outside it, and voice, in the form of worker representation in corporate governance on the model of German codetermination.[21] Each would move the firm toward the standard liberalism al-

[20] Tyler Cowen, "Work Isn't So Bad after All," in *Private Government: How Employers Rule Our Lives (and Why We Don't Talk about It)*, by Elizabeth Anderson, ed. Stephen Macedo (Princeton, NJ: Princeton University Press, 2017), 108–118.

[21] Anderson, *Private Government*, 65–70.

ready applies to the State, authority exercised within limits the governed help to set. Her historical argument supports this direction. If market liberalism once meant freedom from masters, then constraining workplace authority is a return to its founding aim rather than a departure from it.

The evidence Anderson assembles, however, points to a difficulty her framework does not fully address. Much of what she documents is not the issuing of commands but the shaping of conduct: rules on dress and speech, the monitoring of bathroom breaks, the regulation of what workers do and say outside work. These are the techniques Michel Foucault called disciplinary, a form of power that operates less by commanding than by arranging, observing, and normalizing behavior.[22] Anderson frames private government in the language of sovereignty, as a question of who holds authority and to whom it answers, and her remedies are correspondingly constitutional. If the firm governs through the management of conduct as much as through command, a workplace constitution may constrain the second without reaching the first. The question the book leaves open is whether private government is a deficit of sovereignty that a constitution could repair, or a form of power operating beneath the level at which constitutions work.

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[22] Michel Foucault, *Discipline and Punish: The Birth of the Prison*, trans. Alan Sheridan (1975; New York: Pantheon, 1977).

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